

investment: First, Greenblatt's *earnings yield* is a very good metric for identifying undervalued stocks, and, second, mean reversion is a powerful phenomenon. Let's first examine why the earnings yield performed so strongly and then return to an examination of mean reversion for value investors seeking to emulate Buffett.

## THE ENTERPRISE MULTIPLE

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Greenblatt's *earnings yield*—known generally as the *enterprise multiple*, or, occasionally as the *acquirer's multiple*—is a highly predictive measure of relative valuation. In fact, various industry and academic studies have found it to be better at identifying undervalued stocks than any other “price-to-a-fundamental” ratio, including price-to-book value, price-to-earnings, price-to-operating cash flow, or price-to-free cash flow. The conventional metric for identifying undervalued stocks is price-to-book value. It is widely used for academic research, primarily due to the work of two influential financial economists, Ken Fama and Eugene French, on asset pricing. In 1992, Fama and French identified two anomalous classes of stocks that tended to outperform the market, resisting the application of the traditional asset-pricing model. Those two anomalous classes—small capitalization and low price-to-book value stocks—led Fama and French to propose a new asset-pricing model that explicitly accounted for size and price-to-book value, the so-called “three-factor model.” Fama and French maintain that it makes no difference which “price-to-a-fundamental” is employed, but favor price-to-book value:<sup>18</sup>

*A stock's price is just the present value of its expected future dividends, with the expected dividends discounted with the expected stock return (roughly speaking). A higher expected return implies a lower price. We always emphasize that different price-to-value ratios are just different ways to scale a stock's price with a fundamental, to extract the information in the cross-section of stock prices about expected returns. One fundamental (book value, earnings, or cashflow) is pretty much as good as another for this job, and the average return spreads produced by different ratios are similar to and, in statistical terms, indistinguishable from one another. We like [price-to-book value] because the book value in the numerator is more stable over time than earnings or cashflow, which is important for keeping turnover down in a value portfolio.*

*Nevertheless, there are problems in all accounting variables and book value is no exception, so supplementing [price-to-book value] with other ratios can in principal improve the information about*